Finally, most leading professional investors want to see that a company is run by people who, in the words of Oakmark's William Nygren, "think like owners, not just managers." Two simple tests: Are the company's financial statements easily understandable, or are they full of obfuscation? Are "nonrecurring" or "extraordinary" or "unusual" charges just that, or do they have a nasty habit of recurring?

Longleaf's Mason Hawkins looks for corporate managers who are "good partners"—meaning that they communicate candidly about problems, have clear plans for allocating current and future cash flow, and own sizable stakes in the company's stock (preferably through cash purchases rather than through grants of options). But "if managements talk more about the stock price than about the business," warns Robert Torray of the Torray Fund, "we're not interested." Christopher Davis of the Davis Funds favors firms that limit issuance of stock options to roughly 3% of shares outstanding.

At Vanguard Primecap Fund, Howard Schow tracks "what the company said one year and what happened the next. We want to see not only whether managements are honest with shareholders but also whether they're honest with themselves." (If a company boss insists that all is hunky-dory when business is sputtering, watch out!) Nowadays, you can listen in on a company's regularly scheduled conference calls even if you own only a few shares; to find out the schedule, call the investor relations department at corporate headquarters or visit the company's website.

Robert Rodriguez of FPA Capital Fund turns to the back page of the company's annual report, where the heads of its operating divisions are listed. If there's a lot of turnover in those names in the first one or two years of a new CEO's regime, that's probably a good sign; he's cleaning out the dead wood. But if high turnover continues, the turnaround has probably devolved into turmoil.

Keeping Your Eyes on the Road

There are even more roads to Jerusalem than these. Some leading portfolio managers, like David Dreman of Dreman Value Management and Martin